

reasonable stock price. I'm not naming names—you can do your own sleuthing—but several intriguing free plays have come to my attention. In a typical situation, the company at large is valued, say, at \$800 million in today's market, while its fledgling Internet operation is estimated to be worth \$1 billion, before it has proven itself. If the Internet operation lives up to its promise, it could prove very rewarding—that part of the company may be “spun off” so it trades as its own stock. Or, if the Internet venture doesn't do well, the fact that it's an adjunct to the company's regular line of work protects investors on the downside.

The third is the tangential benefit, where an old-fashioned “brick and mortar” business benefits from using the Internet to cut costs, streamline operations, become more efficient, and therefore more profitable. A generation ago, scanners were installed in supermarkets. This reduced pilferage, brought inventories under better control, and was a huge boon to supermarket chains.

Going forward, the Internet and its handmaidens will create some great success stories, but at this point we've mostly got great expectations and inefficient pricing. Companies valued at \$500 million today may triumph, while companies valued at \$10 billion may not be worth a dime. As expectations turn to reality, the winners will be more obvious than they are today. Investors who see this will have time to act on their “edge.”

Back to Microsoft, a 100-bagger I overlooked. Along with Cisco and Intel, that high-tech juggernaut posted explosive earnings almost from the start. Microsoft went public in 1986 at 15 cents a share. Three years later you could buy a share for under \$1, and from there it advanced eightyfold. (The stock has “split” several times along the way, so original shares never actually sold for 15 cents—for further explanation, see the [footnote on](#) .) If you took the Missouri “show me” approach and waited to buy Microsoft until it triumphed with Windows 95, you still made seven times your money. You didn't have to be a programmer to notice Microsoft everywhere you looked. Except in the Apple orchard, all new computers came equipped with the Microsoft operating system and Microsoft Windows. Apples were losing their appeal. The more computers that used Windows, the more the software guys wrote programs for Windows and not for Apple. Apple was squeezed into a corner, where it sold boxes to 7–10 percent of the market.

Meanwhile the box makers that ran Microsoft programs (Dell, Hewlett-Packard, Compaq, IBM, and so on) waged fierce price wars to sell more boxes. This endless skirmish hurt the box makers' earnings, but Microsoft was unaffected. Bill Gates's company wasn't in the box business; it sold the “gas” that ran the boxes.

Cisco is another marquee performer. The stock price is up 480-fold since it